When prices are increasing and with heavy volumes (more people are buying), it indicates that the asset has a relatively higher demand at the moment. When this characteristic sustains for a while, we can say that the asset has a sustaining demand and we can expect it to continue. Hence, we purchase the same. If the prices are increasing but with low volumes (fewer people are buying), we anticipate that the stock does not have a high quantity of buyers at the moment and the trend is therefore not strong. The reverse of these circumstances is also true.

	INCREASE IN PRICE	DECREASE IN PRICE
HIGH VOLUME	STRONG INDICATOR of increase in demand	STRONG INDICATOR of decrease in demand
LOW VOLUME	WEAK INDICATOR of increase in demand	WEAK INDICATOR of decrease in demand

We combine these with statistical analysis to increase our conviction of the prediction. Some people depend more on price and volume behaviour whereas others depend more on the statistical analysis. Irrespective of what strategies one uses, all of the technical analysis is built around price and volume data.